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Case Number: 23NWCV04182 Hearing Date: July 21, 2026 Dept: L

Cross-Defendants City of

Cudahy, Elizabeth Alcantar, and Alfonso Noyola's Demurrer to the Second Amended

Cross-Complaint is SUSTAINED without leave to amend.

Cross-Defendants to give

notice.

Background

This is an action for breach of commercial lease regarding real property located at 8222 Atlantic Ave., Cudahy, CA ("Premises"). On December 21, 2023, Plaintiffs Leonardo Valles and Rosa C. Valles ("Plaintiffs") filed this action against Defendants VM Evergreen, LLC ("VME"), Javier Barajas ("BARAJAS"), and Does 1 to 20. The Complaint alleges that the Plaintiffs and VME entered in an agreement whereby VME would lease the Premises for \$15,000.00 monthly from July 1, 2018 to June 30, 2033 ("Lease"). The Complaint alleges VME and BARAJAS breached the Lease when VME discontinued paying rent in August 2023. The Complaint alleges of cause of action for Breach of Contract.

On April 25, 2025, VME and BARAJAS (hereinafter, "Cross-Complainants") filed a Cross Complaint against City of Cudahy ("CITY"), Christian Hernandez ("HERNANDEZ"), Jose Gonzalez ("GONZALEZ"), Elizabeth Alcantar, also known as Elizabeth Alcantar Loza ("ALCANTAR"), Alfonso Noyola ("NOYOLA"), (collectively, "Cross-Defendants") and Does 1 to 50. On August 11, 2025 Cross-Complainants filed the First Amended Cross-Complaint (FACC).

On December 18, 2025, the Court sustained with 30 days' leave to amend Cross-Defendants City of Cudahy, Elizabeth Alcantar, and Alfonso Noyola's Demurrer to the FACC. (12/18/25 Minute Order.)

On January 20, 2026, Cross-Complainants filed the Second Amended Cross-Complaint (SACC) against Cross-Defendants. The SACC alleges the following: In 2017, the CITY has a cannabis licensing program wherein cannabis operators were invited to apply for one of a limited number of available commercial cannabis licenses for an application fee of \$11,590.00. In December 2017, VME submitted a commercial cannabis license application and application fee to the CITY. In July 2018, BARAJAS and VME entered into the Lease with the Plaintiff, as well as a separate option to purchase agreement. Between 2018 and 2022, VME set up the cannabis business at the Premises and paid all rental obligations. The then-City Manager, Jose Pulido, regularly approved "as-built" construction work while final building inspections were pending. Further, during this period, the City's inspectors, Tierra West Advisors Inc. inspected Cross-Complainants' facility approximately every month with no issue.

On September 24, 2022, HERNANDEZ, former Vice Mayor and councilmember of the CITY from 2015 to 2019, allegedly demanded that BARAJAS pay \$200,000.00 within two weeks as a condition of VME being permitted to stay open for business. HERNANDEZ also demanded ongoing monthly payments of \$20,000.00. HERNANDEZ informed BARAJAS that if they failed to pay the fees, VME would be shut down. HERNANDEZ stated that the fee demand could be confirmed by any of the current city officials, including GONZALEZ, who was former councilmember and Mayor of CITY from 2020 to 2022.

On October 4, 2022, GONZALEZ, former councilmember and Mayor of the CITY from 2020 to 2022, told BARAJAS that Cross-Complainants needed to "work" with HERNANDEZ because he "controlled" NOLOYA, the then-City Manager. At this time, HERNANDEZ was not a part of the CITY's governing body. Cross-Complainants believed the interaction to be an extortion scheme and ceased communications with HERNDANDEZ. Cross-Complainants allege that HERNANDEZ at all times possessed the ostensible authority to act on behalf of the City. At this time, Cross-Complainants ceased all communications with HERNANDEZ.

On October 7, 2022, the CITY sent

an “inspection” notice scheduling the inspection for October 10, 2022. However, the “inspection” was, in actuality, a raid, in which 10-15 Los Angeles County Sheriffs and approximately 15-25 other government agents arrived at and surrounded the Premises. No evidence of wrongdoing was found. Nevertheless, Cross-Defendants posted a “red tag” notice preventing Cross-Complainants from entering the Premises, which would be lifted upon Cross-Complainants submitting the construction plans. Cross-Complainants attempted to submit the construction plans but were turned away by Cross-Defendants. Such refusal was a retaliatory act undertaken at the direction of NOYOLA and ALCANTAR, the current Mayor. Due to closure of the Premises, Cross-Complainants were unable to make rent payments around late 2023. Cross-Complainants also lost the option to purchase.

The SAC alleges the following causes of action:

1. Civil

Conspiracy (against all Cross-Defendants);

2. Negligence

(against CITY and HERNANDEZ);

3. Negligence

Per Se (against all Cross-Defendants);

4. Declaratory

Relief (against all Cross-Defendants); and

5. Unfair

Business Practices (Bus. & Prof. Code §17200 Et. Seq.) (against HERNANDEZ only).

Cross-Defendants City of Cudahy, Elizabeth Alcantar, and Alfonso Noyola (hereinafter, “City Cross-Defendants”) now demur to all causes of action in the SACC alleged against them.

Legal Standard

“[A] demurrer tests the legal sufficiency of the allegations in a complaint.” (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the

pleading under attack or from matters outside the pleading that are judicially noticeable. (See *Donabedian v. Mercury Ins. Co.* (“Donabedian”) (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (*Aubry v. Tri-City Hosp. Dist.* (1992) 2 Cal.4th 962, 967.)

Where a demurrer is sustained, leave to amend must be allowed where there is a reasonable possibility of successful amendment. (*Goodman v. Kennedy* (1976) 18 Cal.3d 335, 348.) The burden is on the plaintiff to show the court that a pleading can be amended successfully. (*Id.*; *Lewis v. YouTube, LLC* (2015) 244 Cal.App.4th 118, 226.) However, “[i]f there is any reasonable possibility that the plaintiff can state a good cause of action, it is error to sustain a demurrer without leave to amend.” (*Youngman v. Nevada Irrigation Dist.* (1969) 70 Cal.2d 240, 245.)

Meet and Confer

Code of Civil Procedure section 430.41 requires that the parties meet and confer “in person, by telephone, or by video conference.” (Code Civ. Proc., § 430.41, subd. (a).)

The parties met and conferred via telephone regarding the issues in this Demurrer but were unable to come to a resolution. (Lowder Decl., ¶ 3.) The Court finds the meet and confer requirement has been met.

Discussion

Preliminary Arguments Re: City Cross-Defendants’
Liability for

HERNADEZ's Conduct

City Cross-Defendants argue that the SACC, like the FACC, fails to allege any factual basis to hold them liable for the acts of HERNANDEZ. The SACC only contains generic and conclusory allegations in paragraphs 11 through 13 that all Cross-Defendants carried out a joint scheme and acted as agents of each other such that they can be held

liable for each other's actions. The SACC admits that, at all relevant times, HERNANDEZ was not the employee of the CITY when he demanded the sum of \$200,000.00. (See SACC, ¶¶ 4, 29.)

There are no allegations that the City Cross-Defendants represented to Cross-Complainants that HERNANDEZ was their agent. The SACC only alleges that GONZALEZ advised that Cross-Complainants needed to "work" with HERNANDEZ because HERNANDEZ "controlled" NOYOLA. (See SACC, ¶ 29.) Such allegation does not establish City Cross-Defendants' vicarious liability, because the agency relationship is in the wrong direction—such allegation does not establish that HERNANDEZ was an agent for the CITY or NOYOLA. Neither does GONZALEZ's statement suggest that the CITY or NOYOLA were aware of Hernandez's alleged demand or authorized him to make such a demand to Cross-Complainants.

In opposition, Cross-Complainants clarifies that the SACC is based on a conspiracy theory, not an agency theory. The SACC alleges that City Cross-Defendants knowingly participated in a joint scheme with HERNANDEZ to extort Cross-Complainants. (SACC, ¶¶ 29-30, 35-36.)

The Court discusses Cross-Complainants' conspiracy theory below.

First Cause of Action – Civil Conspiracy (against all Cross-Defendants)

"Civil conspiracy is not an independent tort. Instead, it is a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration." (City of Industry v. City of Fillmore (2011) 198 Cal.App.4th 191, 211-212, quotation marks omitted.) "The elements of a civil conspiracy are (1) the formation of a group of two or more persons who agreed to a common plan or design to commit a tortious act; (2) a wrongful act committed pursuant to the agreement; and (3) resulting damages." (Id. at p. 212.)

In making allegations of conspiracy, bare legal conclusions, inferences, generalities, presumptions, and conclusions are insufficient. (See State of California ex rel. Metz v. CCC Information Services, Inc. ("CCC") (2007)

149 Cal. App. 4th 402, 419.) There must be allegations that the purported conspirators had actual knowledge of the planned tort and had the intent to aid in the commission of the tort. (See *Kidron v. Movie Acquisition Corp.* (“*Kidron*”) (1995) 40 Cal.App.4th 1571, 1580.)

City Cross-Defendants argue that the first cause of action fails to allege that a conspiracy was formed. Specifically, there are no allegations that City Cross-Defendants reached any explicit or implied agreement with HERNANDEZ to commit the alleged extortion. Additionally, there are no allegations showing ALCANTAR and NOYOLA’s participation in any conspiracy.

Further, to the extent the conspiracy allegations are based on the alleged extortion as the unlawful act, the Court has previously ruled that the extortion cause of action failed to state a claim on the Demurrer to the FACC. Specifically, the Court held that 1) HERNANDEZ’s demand for payment was based on a threat to shut down Cross-Complainant’s business, not a threat of criminal or civil prosecution, and 2) the cause of action failed to allege that Cross-Complainants were damaged as a result of the demand because they never paid any money. (See 12/18/25 Minute Order.)

In opposition, Cross-Complainants argue that the SACC “alleges a specific chronological sequence that compels an inference of coordination,” as follows: 1) HERNANDEZ’s extortion demand, 2) GONZALEZ’s confirmation that compliance with HERNANDEZ was a “requirement” to continue operating because he controlled NOYOLA, and 3) the raid and red tagging. (Opp., 4:21-26.)

ALCANTAR served as Vice-Mayor and became Mayor in December 2022—thus, she was in office during the raid and during the CITY’s refusal to accept construction plans. (SACC, ¶¶ 31-32.) NOYOLA was the City Manager at all relevant periods. (SACC, ¶ 7.) According to the Development Agreement submitted by Cross-Defendants for judicial notice in support of their prior Demurrer, the City Manager must request and direct Sheriff’s Department involvement at cannabis premises. The Court can thus infer that both individuals had knowledge of the common scheme.

Cross-Complainants further argue that the underlying unlawful conduct is not confined to the attempted extortion. Rather, the underlying conduct consists of “the retaliatory Raid, the unlawful red-tagging, and the refusal to accept construction plans — all carried out after Cross-Complainants refused to

pay.” (Opp., 7:6-7; see SACC, ¶¶ 30-31.) Further, the underlying tort may be based on Penal Code section 524 [regarding attempted extortion]. As to damages, Cross-Complainants do not seek to recover any money paid to HERNANDEZ—rather, they seek damages caused by the red-tagging and refusal to allow reentry. Specifically, losses include rent, construction cost investments, and the lost purchase option.

The Court finds that the first cause of action fails to allege an underlying civil tort that serves as the basis for the conspiracy claim. (See *Navarrete v. Meyer* (2015) 237 Cal.App.4th 1276, 1291 [“Under a conspiracy theory of recovery, liability depends on the actual commission of a tort.”].) Firstly, to the extent the conspiracy claim is based on attempted extortion, the Court previously found that any extortion claim fails because no damages resulted from HERNANDEZ’s demand. (See 12/18/25 Minute Order.) Additionally, Cross-Complainants cite no authority that Penal Code section 524 may serve as the basis of a civil conspiracy. To the extent that the conspiracy claim is based on the additional retaliatory conduct, there are no allegations or authority for the Court to conclude such conduct consisted of actionable torts.

Further, as the Court found in ruling on City Cross-Defendant’s prior Demurrer, the Court finds that the allegations regarding the parties’ agreement to commit a common scheme, knowledge of the plan, and intent to aid in commission of the plan are conclusory and circumstantial. (See CCC, *supra*, 149 Cal. App. 4th at p. 419; see also *Kidron*, *supra*, 40 Cal.App.4th at p. 1580.) That ALCANTAR and NOYOLA were in office and had authority to order a raid during relevant periods does not necessarily suggest any shared intent to commit any tort. GONZALEZ’s statements regarding HERNANDEZ’s alleged control of NOYOLA further have no bearing on NOYOLA’s knowledge or intent.

The Court is not persuaded that Cross-Complainants are able to amend the first cause of action to fix such deficiencies.

Accordingly, the Demurrer to the first cause of action is SUSTAINED without leave to amend.

Second Cause of Action – Negligence (against CITY and HERNANDEZ)

In order to state a claim for negligence, Plaintiff must allege the elements of (1) "the existence of a legal duty of care," (2) "breach of that duty," and (3) "proximate cause resulting in an injury." (McIntyre v. Colonies-Pacific, LLC (2014) 228 Cal.App.4th 664, 671.)

City Cross-Defendants argue that the second cause of action fails to allege an actionable duty owed to Cross-Complainants and breach of such duty, as the FACC also failed to do. Further, the negligence cause of action fails to allege damages. Specifically, there are no allegations that Cross-Complainants were damaged as a result of the alleged extortion. The SACC alleges that Cross-Complainants rejected Hernandez's demand. (See SACC, ¶ 29.) Further, the alleged damages of \$8,101,111.00 consists of business expenses. (See SACC, ¶¶ 33, 45.) Such damages are not a result of any conduct by City Cross-Defendants.

Cross-Complainants argue that the SACC adequately alleges duty, breach, causation, and damages. Cross-Complainants argue that City Cross-Defendants' duties arose by virtue of the parties' cannabis licensing program transaction. Cross-Complainants argue that this "regulatory and contractual relationship. . . gives rise to a duty not to act arbitrarily or capriciously in a manner that destroys the very business [the CITY] repeatedly approved." (Opp., 8:13-25.) City Cross-Defendants breached this duty by red-tagging the Premises and refusing to accept the construction plans that they told Cross-Complainants were required to reopen the business.

The Court finds that the SACC makes no substantial changes that would warrant a different ruling on this Demurrer. The SACC still alleges that the CITY and HERNANDEZ owed the same conclusory duties as it did in the FACC. (See SACC, ¶ 41(a)-(d).) The Court finds that the negligence cause of action is framed in a way such that City Cross-Defendants' alleged intentional acts are portrayed as breaches of certain duties. The Court has already noted that, to the extent the CITY and its employees' actions were discretionary, "a public employee is not liable for an injury resulting from his act or omission where the act or omission was the result of the exercise of the discretion vested in him, whether or not such discretion be abused." (Gov. Code, § 820.2.)

Further, as discussed previously, the SACC fails to establish a basis for the CITY's liability (based on vicarious liability or conspiracy) for the acts of HERNANDEZ.

The Court is not persuaded that Cross-Complainants are able to amend the second cause of action to fix such deficiencies.

Accordingly, the Demurrer to the second cause of action is SUSTAINED without leave to amend.

Third Cause of Action – Negligence Per Se (against all Cross-Defendants)

“The negligence per se doctrine, as codified in Evidence Code section 669, creates a presumption of negligence if four elements are established: (1) the defendant violated a statute, ordinance, or regulation of a public entity; (2) the violation proximately caused death or injury to person or property; (3) the death or injury resulted from an occurrence of the nature of which the statute, ordinance, or regulation was designed to prevent; and (4) the person suffering the death or the injury to his person or property was one of the class of persons for whose protection the statute, ordinance, or regulation was adopted.” (Spates v. Dameron Hospital Association (2003) 114 Cal.App.4th 208, 218, quotation marks omitted.) “The doctrine of negligence per se is not a separate cause of action, but creates an evidentiary presumption that affects the standard of care in a cause of action for negligence.” (Johnson v. Honeywell International Inc. (2009) 179 Cal.App.4th 549, 555, quotation marks and brackets omitted.)

The SACC’s negligence per se cause of action is based on Penal Code section 524 regarding attempted extortion.

City Cross-Defendants argue that the SACC fails to allege specific acts that establish their specific intent to commit extortion or the attempted act done towards the extortion. Further, as explained previously, Cross-Defendants were not damaged by any attempted extortion.

In opposition, Cross-Complainants argue that this cause action merely serves as a predicate establishing that

City Cross-Defendants' conduct fell below the standard of care.

The Court finds that,
because the conspiracy and negligence causes of action fail, the negligence per se cause of action also fails.

Accordingly, the Demurrer to the third cause of action is SUSTAINED without leave to amend.

Fourth Cause of Action – Declaratory Relief (against all Cross-Defendants)

“To qualify for declaratory relief, a party would have to demonstrate its action presented two essential elements: (1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the party’s rights or obligations.” (Jolley v. Chase Home Finance, LLC (2013) 213 Cal.App.4th 872, 909, quotation marks and brackets omitted.)

A cause of action for declaratory relief should not be used as a second cause of action for the determination of identical issues raised in another cause of action. (General of America Insurance Co. v. Lilly (1968) 258 Cal.App.2d 465, 470.) “The availability of another form of relief that is adequate will usually justify refusal to grant declaratory relief” (California Insurance Guarantee Association v. Superior Court (1991) 231 Cal.App.3d 1617, 1624), and a duplicative cause of action is subject to demurrer (Palm Springs Villas II Homeowners Association, Inc. v. Parth (2016) 248 Cal.App.4th 268, 290). Further, “there is no basis for declaratory relief where only past wrongs are involved.” (Osseous Technologies of America, Inc. v. DiscoveryOrtho Partners LLC (“Osseous”) (2010) 191 Cal.App.4th 357, 366, quotation marks omitted.)

City Cross-Defendants argue that the fourth cause of action is based on only past wrongs. No actual controversy exists.

“54. There is an actual controversy between the Cross-Complainants and Cross Defendants concerning their respective rights and duties. Specifically, Cross-Complainants seek a judicial determination of whether the City of Cudahy and its officials acted lawfully in:

a. Conspiring to commit the unlawful and

tortious conduct alleged herein, including but not limited to attempting to unlawfully procure the Extortion Payment from Cross-Complainants with threatening tactics and unauthorized red-tagging;

b. Refusing to accept construction plans;

c. Denying Cross-Complainants access to the Subject Premises;

d. Extinguishing the rights conferred by the commercial cannabis license and lease; and

e. Red-tagging and effectively condemning the premises without due process or legitimate cause.”

(SACC, ¶ 54.)

As the Court found in its ruling on the Demurrer to the FACC, the Court finds that “only past wrongs are involved” in this cause of action. (Osseous, *supra*, 191 Cal.App.4th at p. 366.) The Court is not persuaded that there are live disputes regarding the parties’ rights or property that would warrant a judicial declaration. This cause of action is merely a restatement of the other causes of action. Further, to the extent Cross-Complainants seek judicial review of the City’s discretionary action or inaction, such relief is more appropriately sought via other proceedings.

Accordingly, the Demurrer to the fourth cause of action is SUSTAINED without leave to amend.